

LATVIA
2008

Table of Contents

LATVIA 2008	1
Introduction.....	1
1. Overview of the tax-benefit system	2
2. Unemployment insurance.....	2
3. Unemployment assistance	8
4. Social assistance.....	8
5. Housing benefits for rented accommodation	12
6. Family benefits.....	14
7. Childcare for pre-school children.....	16
8. Employment-conditional benefits	19
10. Social State Benefit to Participants of Mitigation of Consequences of Chernobil NPS or their Family	20
11. Tax system	21
12. Part-time work.....	24
13. Policy developments	24
Social security contributions to general government	26
Social security contributions paid to institutions outside general government	26
Payroll taxes.....	26

Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

1. Overview of the tax-benefit system

The tax system in Latvia consists of state taxes, state fees, local government fees, and social insurance contributions.

There exists a three-tier system of social benefits in Latvia:

- 1) state social insurance benefits which are earnings related and based on social insurance contributions;
- 2) state social benefits which are flat-rated and with universal coverage of population;
- 3) means-tested benefits provided within the system of social services and social assistance.

State social insurance benefits guarantee a person a certain substitute for income in the event of social risk and are provided only for socially insured people. Individuals are insured and social insurance contribution payments are made in respect of those social risks that may actually affect them. Social insurance contributions guarantee security to person in case of old-age, death, unemployment, disability, maternity (paternity), sickness, accidents at work and occupational diseases.

State social benefits provide universal state support in the form of cash payments for certain groups of the population in cases related to the arising of additional expenditures, in which the social insurance system does not provide for security (for example, family benefit, child care and child birth benefits, state social security benefit, that provides security in case of loss a parent etc.).

Housing costs are covered through a separate means-tested scheme in terms of social services and social assistance system. There is a social assistance scheme which guarantees a minimum income for every inhabitant of the country, as also provides other means-tested benefits in special cases as final safety net.

As concerns social benefits, only pensions (old-age pension, long service pension, disability pension, survivor's pension) and sickness benefit are taxable.

1.1. Average Worker wage (AW)

The 2008 AW earnings level is LVL **5697.85**.

2. Unemployment insurance

The operation of the unemployment insurance system in Latvia is regulated by the **Law “On Insurance against Unemployment”**, adopted by the Parliament on 25 November 1999 (became effective on 1 January 2000), - which was elaborated on the basis of previous Law “On Compulsory Social Insurance against Unemployment”, enacted by the Parliament on 5 October 1995 (in force since 1 January 1997) – for improvement of the state social insurance scheme relating to unemployment.

The purposes of the Law are as follows:

- to ensure income substitution in the event of unemployment;
- to ensure the amount of the unemployment benefit in proportion to the individual contribution wage, the insurance period and the length of the time during which the benefit is received;
- to stimulate the unemployed person to seek job actively, to improve existing qualification and to undergo retraining.

The Law “On Insurance against Unemployment” provides passive unemployment insurance services (unemployment benefit in cash; funeral benefit in case of the demise of the unemployed; stipend for the period of professional training or re-qualification of the unemployed). The granting and payment of unemployment benefits and other passive unemployment insurance services ensures the State Social

Insurance Agency. Passive unemployment insurance services determined by the law “*On Insurance against Unemployment*” are financed by the state social insurance special employment budget. Active employment activities are funded by Special Employment Budget set forth under the *Support for Unemployed Persons and Persons Seeking Employment Law*, however within the amount not exceeding 10% of the total Special Employment Budget determined by the *Law On Annual Budget*, which determines a particular amount of Special Employment Budget for financing of active employment activities.

2.1 Conditions for receipt

The rights to unemployment benefit have persons who obtain an unemployed status and who also have unemployment insurance.

Persons who are not citizens or non-citizens of Latvia, who are not permanent residents of Latvia or who have not received a temporary residence permit and also are not married persons with Latvian citizens, non-citizens or permanent residents of Latvia have rights to get unemployment benefit in accordance with the *Council Regulation (EEC) No 1408/71 on the application of social security schemes to employed persons, to self-employed persons and to members of their families moving within the Community*.

Eligibility for unemployment benefit doesn't depends on whether the job loss is “voluntary” or not. But voluntarily dismissal affects the granting procedure of unemployment benefit. If a person has become an unemployed after the termination of work or service on the basis of his or her notice (voluntary) or due to a violation, the unemployment benefit shall be granted from the day when the unemployed person has submitted all the documents certifying the right to the benefit, but not earlier than two months after the day when the status of an unemployed person was obtained. Two months waiting period has been introduced in order to motivate every person to retain his (her) workplace and does not violate labour contract and working regulations.

In order to become (and remain) entitled to the unemployment benefit for person is necessary to obtain (and retain) an unemployed status. A person has the rights to unemployment status if the person is seeking employment. In accordance with the *Support for Unemployed Persons and Persons Seeking Employment Law* Unemployed persons have a duty to:

- actively seek employment independently and with the assistance of the State Employment Agency and after the acquisition of unemployed person status provide without delay proposals to the State Employment Agency for the development of an individual employment seeking plan;
- on the day specified in the individual employment seeking plan attend the State Employment Agency and present the documents specified in regulatory enactments;
- attend the State Employment Agency within a time period of three days from the day of receipt of an invitation;
- participate in measures provided for in the individual employment seeking plan.

2.1.1 Employment conditions

The rights to unemployment benefit have persons who obtain an unemployed status in accordance with the *Support for Unemployed Persons and Persons Seeking Employment Law*.

A person has the rights to unemployment status after registration with the State Employment Agency in conformity with the principal place of residence if the person:

- 1) is a citizen or non-citizen of Latvia or he or she has received a permanent residence permit, or has received a temporary residence permit and is a spouse of a citizen or non-citizen of Latvia, or a spouse of a person who has received a permanent residence permit;

- 2) does not work (is not considered to be an employee or a self-employed person) in accordance with the Law On State Social Insurance);
- 3) is seeking employment;
- 4) is able to work and ready to enter into labour relations immediately;
- 5) has reached 15 years of age;
- 6) has not reached the age necessary for the granting of the State old age pension or does not receive a service pension or the State special pension;
- 7) is not acquiring an education by being present at a general secondary or vocational secondary education institution, excluding evening school;
- 8) does not perform commercial activities or his or her commercial activities have been suspended in accordance with regulatory enactments; and
- 9) is not completely State supported.

The person for whom invalidity has been determined shall also be considered to be able to work except in cases where the Medical Commission for Expert-Examination of Health and Working Ability has determined a loss of ability to work of 100 per cent.

The basis for the loss of unemployment status shall be:

- 1) the acquisition of status of the employee or self-employed person for an indefinite period of time or for a time period longer than two months in accordance with the Law On State Social Insurance, except engaging in the active employment measures;
- 2) reaching the age necessary for the granting of the State old age pension, receipt of a service pension or State special pension;
- 3) coming under complete State support;
- 4) commencing the acquisition of education by being present at a general secondary or vocational secondary education institution, excluding evening school;
- 5) refusal of an appropriate offer of employment twice;
- 6) failure to fulfil the duties of an unemployed person without a justified reason;
- 7) provision of false information in order to acquire and retain unemployment status;
- 8) moving for permanent residence outside Latvia;
- 9) conscription into the State mandatory military service;
- 10) the loss of work ability of 100 per cent;
- 11) renewal of employment through a court judgment; or
- 12) death of the unemployed person.

Unemployment benefit is granted as of the day the unemployed filed all the documents, showing the right for the benefit (including statement from the State Employment Agency about granting of unemployment status).

The unemployment benefit for a person, who has become unemployed after terminating employment voluntarily or due to a violation, is to be granted not earlier than two months as of the day of obtaining of the unemployed status. The main purpose of this was to prevent voluntarily dismissals of employed persons by the prolongation of the period after which unemployment benefit is granted.

2.1.2 Contribution conditions

Unemployment benefit is granted to an unemployed person who has registered as unemployed and who can prove that mandatory social insurance contributions for the case of unemployment are made on his/her behalf within a period of not less than 12 months within the last preceding 18 months before obtaining of the status of unemployed.

If within the last preceding 18 months before obtaining of the status of unemployed the contributions for the case of unemployment are made on behalf of the unemployed for the period of less than 12 months, and also for the period after obtaining of the status of unemployed, then unemployment benefits are determined on the basis of the contributions made during the preceding 18 months before the day when unemployment benefit is requested.

If within a period of the last preceding 18 months before obtaining of the status of unemployed contributions for the case of unemployment are not made on behalf of unemployed, or are made for the period of less than 12 months, the unemployed is entitled to the unemployment benefits provided, in the respective period, the unemployed was within the category of the following persons:

- 1) regained work ability after disability;
- 2) caretaker for the minor until the age of 16.

The amount of social insurance contributions covered unemployment insurance is 1,75% on the total social insurance contributions payments. The total rate of compulsory social insurance contribution if the employee is insured for all social insurance kinds is 33,09%.

Insurance period, entitling for the unemployment benefits is comprised of the following:

- 1) the period for which the contributions for the case of unemployment are made in accordance with the Law On State Social Insurance (the Law On State Social Insurance came into force on 1 January, 1998);
- 2) the periods of work or equal to work accrued until 1 January, 1991;
- 3) the periods of work accrued from 1 January, 1991 until 1 January, 1996, for which the social tax payments are made;
- 4) the periods for which the social tax payments are made for the period from 1 January, 1996 until 31 December, 1997 made in accordance with the law On Social Tax.

2.2 Calculation of benefit amount

For the unemployed, who until the day of obtaining of the status of the unemployed was an employee, the benefit amount is determined in proportion to the insurance period, and his/her income, from which unemployment contributions are made in accordance with the Law On State Social Insurance:

- 1) with an insurance period from one to nine years (inclusive): within the amount of 50% from average insurance contribution wage;
- 2) with an insurance period from ten to nineteen years (inclusive): within the amount of 55% from average insurance contribution wage;
- 3) with an insurance period from twenty to twenty-nine years (inclusive): within the amount of 60% from average insurance contribution wage;
- 4) with an insurance period above thirty years (inclusive): within the amount of 65% from average insurance contribution wage.

For the unemployed on behalf of which before the day of obtaining of the status of the unemployed the contributions for the case of unemployment are made from the state basic budget, and for the unemployed regained work ability after disability or which has been caretaker for the minor until the age of 16, the benefit is determined within the amount of 60 percent of the state social security benefit double amount being in force as of the day of requesting an unemployment benefit (the actual amount of state social security benefit is 45 LVL per month).

For an unemployed person for whom the requester of the benefit himself or herself and his or her employer had made unemployment insurance contributions for a part of the contributions period prior to the day

when the status of an unemployed person was obtained, but for the other part – the State, the amount of the unemployment benefits to be granted shall be determined:

- 1) in proportion to length of period of insurance and depending on the average wage subject to insurance contributions – if an unemployed person at the end of the contributions period had the employee status.
- 2) in the amount of 60 per cent from the double amount of State social insurance benefit in effect on the day when the unemployment benefit is requested – if for the unemployed on behalf of which at the end of the contributions period the contributions for the case of unemployment are made from the state basic budget.

For an unemployed person for whom both, the requester of the benefit himself or herself and his or her employer and the state, had concurrently made unemployment insurance contributions prior to the day when the status of an unemployed person was obtained, the unemployment benefits shall be granted in the amount of 60 per cent from the double amount of state social security benefit in effect on the day when the unemployment benefits is requested.

The unemployment benefit amount also depends on the length of unemployment:

- 1) for persons with the insurance record from 1 – 9 years:
 - first 2 months of unemployment: 100% of set benefit,
 - from 3-4 months of unemployment: 75% of the set benefit,
- 2) for persons with the insurance record from 10 – 19 years:
 - first 2 months of unemployment: 100% of set benefit,
 - from 3-4 months of unemployment: 75% of the set benefit,
 - from 5-6 months of unemployment: 50% of the set benefit;
- 3) for persons with the insurance record over 20 years:
 - first 3 months of unemployment: 100% of set benefit,
 - from 4-6 months of unemployment: 75% of the set benefit,
 - from 7-9 months of unemployment: 50% of the set benefit.

Benefit amount is gradually reduced (every 2nd or 3rd month) in order to motivate every unemployed person and especially those who receive low benefit amounts to return to the labour market a.s.a.p.

The average insurance contributions wage (incomes from which state social insurance contributions are made) for determining unemployment benefit is calculated from the person's insurance contributions wage for a six month period, such period ending two calendar months prior to the month in which the person became unemployed.

In the period from 1 of January to 1 of July of 2008 the average amount of unemployment benefit was 140,86 LVL.

2.2.1 *Calculation of gross benefit*

Unemployment benefit is earnings related benefit which amount depends from persons' social insurance contributions wage. Average amount of unemployment benefit by length of the insurance period was:

insurance record	% of average social insurance contributions wage	average amount of benefit in LVL (in the period from 1 January to 1 July, 2008)
insurance record from 1 to 9 years	50%	140,86
insurance record from 10 to 19 years	55%	159,81

insurance record from 20 to 29 years	60%	153,97
Insurance record above 30 years	65%	181,07

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

No disregards.

2.3 *Tax treatment of benefit and interaction with other benefits*

Non-taxable.

2.4 *Benefit duration and waiting periods*

Duration of payment of unemployment benefit depends from the social insurance record of person:

- for persons with the insurance record from 1 – 9 years: 4 months;
- for persons with the insurance record from 10 – 19 years: 6 months;
- for persons with the insurance record over 20 years: 9 months.

If within the time period of 12 months a person is being repeatedly granted unemployment benefits, it shall be granted, taking into account the duration of the receipt of the preceding unemployment benefits granted in such period. If unemployment insurance contributions have been made or had to be made for a particular person for not less than 12 months in such time period of 18 months, unemployment benefits shall be granted in accordance with general procedures.

The disbursement of unemployment benefit shall be suspended if an unemployed person:

- enters into a contract of employment regarding paid temporary performance of public works or enters into a contract of employment regarding participation in other active employment measures specified in the Support for Unemployed Persons and Persons Seeking Employment Law; or
- obtains the status of an employee in accordance with the Law On State Social Insurance for a time period of up to two months (inclusive).

The time period when the disbursement of unemployment benefits is suspended shall not be included in the time period for what benefit is granted.

The disbursement of unemployment benefits shall be discontinued if a person loses the status of an unemployed person.

In most cases the unemployment benefit is repeatedly granted, if disbursement of preceding unemployment benefit had been discontinued and a person lost the status of an unemployed person due to temporary work (obtained the employee status for a time period more than two months) and after loss of temporary work has reapplied for unemployment benefit.

After expiration of the disbursement term of unemployment benefit a person can pretend on next unemployment benefit only after unemployment insurance contributions have been made for not less than 12 months in time period of 18 months.

There is no waiting period for unemployment benefit. Unemployment benefits shall be granted from the day when an unemployed person has submitted all the documents, which certify the right to the benefit. Only to a person who has become an unemployed person after the termination of work or service on the

basis of his or her notice or due to a violation benefits shall be granted not earlier than two months after the day when the status of an unemployed person was obtained.

2.5 Treatment of particular groups

None.

2.5.1 *Young persons*

2.5.2 *Older workers*

2.5.3 *Others if applicable*

[e.g. lone parents, immigrants, part-time employees, self-employed, disabled]

3. Unemployment assistance

None

3.1 Conditions for receipt

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

3.2 Calculation of benefit amount

3.2.1 *Calculation of gross benefit*

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

3.3 Tax treatment of benefit and interaction with other benefits

3.4 Benefit duration and waiting periods

3.5 Treatment of particular groups

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable*

4. Social assistance

Social assistance is residual social benefits, which acts as final safety net. Social assistance is financed from local municipalities budgets and is granted to households or separately living persons, whose place of residence is situated in municipalities' territory. According to law there are 4 main types of social assistance benefits. Each has his own conditions of granting.

Types of Social Assistance Benefits:

- 1) Benefit for ensuring guaranteed minimum income level (GMI benefit);
- 2) Housing benefit.
- 3) Benefit in an emergency situation.
- 4) Other benefits defined by municipalities.

4.1 *Conditions for receipt*

Social assistance to a client shall be provided on the basis of an evaluation of his or her material resources – income and property, individually providing for the participation of each client in conformity with the Law On Social Security.

Measuring resources of client regarding the following benefits are not consider: supplements to the allowance for child care for twins or more children born during one delivery, first 100 lats from parental allowance, state family allowance and a supplement to the state family benefit for a disabled child, care of disabled child benefit, benefit for disabled who is needing for care, benefit for a child with celiac disease, an allowance for the compensation of transport expenses for disabled persons who have difficulties in movement, childbirth allowance, funeral benefit, allowance and compensation for rent and transport expenditures during occupational training, retraining and raising of qualifications of unemployed persons, as well as the amount of such allowance and compensation

4.1.1. GMI benefit

The GMI benefit shall be granted and paid to a household or separately living person which income level is lower than GMI level, set by Cabinet of Ministers. GMI benefit is paid on the basis of net income and assets test (means test). GMI benefit can be paid in cash or in kind.

Adult claimants of GMI benefit have an obligation to fulfil the duties of participation prescribed in the Law On Social Security.

GMI benefit reception doesn't affect the right of person to claim additional social assistance benefits.

4.1.2. Housing benefit

Established by local municipality's regulation. Can be paid in cash or in kind.

4.1.3. Benefit in an emergency situation

The local government grants without means testing to the person (family) a benefit in an emergency situation if, due to a natural disaster or unforeseen circumstances he or she is not able to satisfy his or her basic needs.

The benefit in an emergency situation can be paid in cash or in kind.

4.1.4 Other benefits

Established by local municipality's regulation. Can be paid in cash or in kind.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

4.2.1.1. GMI

GMI benefit is calculated as a difference between GMI level per person (27 LVL in 2008) and households income per capita or separately living person's income. Calculation of the benefit does not involve application of the equivalence scale – the calculated GMI benefit is equal to all adults and children in the family.

Amount of GMI benefit = GMI level per person – household income per capita

Maximum amount GMI benefit per month:

separately living person	Household
27 LVL	135 LVL

In cases of refusing to fulfil duties of participation total amount of GMI benefit reduces by part of adult who refused.

The local municipalities are eligible to determine the local level of GMI, but not below the national.

4.2.1.2. Housing benefit

Established by local municipality's regulation (see Section 5).

4.2.1.3 Benefit in an emergency situation

According to type of emergency situation and depends on decision of local municipality.

4.2.1.4. Other benefits

Established by local municipality's regulation.

4.2.1.4 Irregular additional payments

4.2.1.5 Obligations of family members

4.2.2 Income and earnings disregards for benefit recipients and those starting a new job

See Section 4.1

4.3 Tax treatment of benefit and interaction with other benefits

Non-taxable.

4.4 Benefit duration and waiting periods

4.4.1. GMI benefit

GMI benefit is granted for the period of 3 months and is renewable after that. Maximum duration for GMI benefit is 9 months per year.

4.4.2. Housing benefit

Established by local municipality's regulation.

4.4.3. Benefit in an emergency situation

Established by local municipality's regulation.

4.4.4. Other benefits

Established by local municipality's regulation.

4.5 Treatment of particular group

4.5.1 Young persons

None

4.5.2 Older workers

None

4.5.3 Others if applicable

4.5.3.1. Families with children – in case adults fulfill their duties of co-participation amount of GMI benefit for family can exceed maximum (135 LVL)

4.5.3.2. In case during GMI benefit receiving period income increase due to one of **family members starts to work** – GMI benefit is paid for additional 3 months in decreased amount. In this case duration of GMI benefit can exceed 9 months per year. According to legislation there are two cases when decreased amount of GMI benefit can be paid for additional 3 months:

- if income of family increase above the stated level of GMI, decreased amount of benefit is calculated as followed:
 - 1st month – 75% of awarded benefit
 - 2nd month – 50%
 - 3rd month – 25%
- if income of family increase but not achieve the stated level of GMI, the amount of benefit can be calculated as followed:
- according to standard formula taking into account new level of income according to rules described above.

Local authorities apply the method giving the highest amount of calculated benefit.

5. Housing benefits for rented accommodation

The autonomous functions of local governments are to provide assistance to residents in resolving issues regarding housing. To ensure material support for families or separately living persons with low income to pay rent and public utilities local municipalities are entitled to provide housing benefit.

As the housing costs and rules defining whether a family or a person is eligible to receive the benefit vary geographically, a “typical” region, the capital Riga, is chosen.

Housing benefits are granted and paid by social services of Riga suburbs (regions) at the place of residence declared by the claimant and that is the place where claimant is actually living. The rights to housing benefits are entitled to households or separately living persons (assistance claimant) being unable to meet elementary requirements. According to the Law on Social Services and Social Assistance, a dwelling is one of the elementary requirements.

There are different kinds of payment (payments to public utility services, fire wood charges etc.), covered by housing benefit. In case of housing debts triangular agreement is concluded and municipality has right to grant an increased amount of housing benefit to state pension receivers, recipients of state social security benefit and families with minors.

5.1 Conditions for receipt

Conditions of receipt are established by local municipality’s regulation. Housing benefit is income-tested benefit.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

Riga is one of municipalities in Latvia, set GMI level different than national. This special GMI level also is used in calculation of amount of housing benefit in Riga. Housing benefit is estimated as a difference between the GMI level set by Riga municipality (GMI*) for assistance claimant and the amount of consumption standards of living space and public utility service and total income of the assistance claimant:

$$P = \text{GMI}^* + K - I$$

P – amount of housing benefit;

GMI* – level of guaranteed minimum income set by Riga municipality for the assistance claimant;

K – consumption standards of living space and public utility service (limit for actual costs);

I – income of assistance claimants (including the benefit received in the respective month to ensure the GMI level). In 2008 the income of claimant must not exceed 250 lats per month for separately living person and 200 lats per month per person in household.

Housing benefit is calculated and paid each month.

The calculation of maximum housing costs is complicated and depends on the different types of dwellings.

To calculate the housing benefit the results of Household Budget Survey (see table below) as the actual housing costs are used and amount of 20% of Average Worker wage (AW) – as the limit (consumption standards) for the actual housing costs.

Composition of consumption expenditures by number of persons, 2008

(average per household member per month, LVL)

Reference date for all information is **July 1st 2008**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

	<i>Households</i>				
	<i>1 person</i>	<i>2 persons</i>	<i>3 persons</i>	<i>4 persons</i>	<i>5 and more persons</i>
Consumption expenditure - TOTAL	303.14	256.43	245.11	209.34	168.20
Housing, water, electricity, gas and other fuels (excluded communications)	53.72	33.70	26.10	20.22	15.81

(Data source: Central Statistical Bureau)

For instance, for a single person under Social Assistance (SA), the limit of actual housing costs are LVL 644.64 (53.72 *12) and that are smaller than assumed housing costs – 20% of the AW (LVL 1139.57 – data of 2008). The costs above 644.64 are ignored when the housing benefit is calculated.

5.2.2 *Income and earnings disregards*

It is possible to receive the housing benefit together with other social assistance benefits. The following kinds of income are excluded from calculation of housing benefit:

- 1) childbirth allowance;
- 2) child care benefit;
- 3) supplements to the allowance for child care for twins or more children born during one delivery
- 4) first 100 lats from parental allowance,
- 5) state family allowance and a supplement to the state family benefit for a disabled child
- 6) care of disabled child benefit
- 7) benefit for a child with celiac disease
- 8) benefit for disabled who is needing for care
- 9) an allowance for the compensation of transport expenses for disabled persons who have difficulties in movement
- 10) funeral benefit
- 11) allowance and compensation for rent and transport expenditures during occupational training, retraining and raising of qualifications of unemployed persons, as well as the amount of such allowance and compensation

The assistance claimant must complete the livelihood declaration where household income and housing expenditure are indicated. Able-bodied benefit claimants must declare their income in every 3 months while families without able-bodied persons must do it in every 6 months.

In Riga the assistance ability of single breadwinners is not taken into account. When estimating the assistance amount, only net income is taken into account. The income, from which the income tax and state social insurance contributions are paid, is declared only after payment of the income tax and social insurance contributions.

The following kinds of income are declared in the assistance claimant's declaration of livelihood:

- 1) income from paid employment, pensions, benefits, stipends, means of subsistence, student's loan, income from national support programs (in cash) - the last three months;
- 2) Income from economic activity, royalties and fees, rent (lease) and confiscation of real property, rent and confiscation of movables - the last 12 months;
- 3) donations, legacies, dividends and winnings - the last 12 months;
- 4) financial support of a spouse living separately - the last 12 months;
- 5) other income – last 12 months.

5.2.3 *Costs eligible for housing benefits*

5.3 ***Tax treatment of benefit and interaction with other benefits***

Benefits are not liable to a tax.

5.4 ***Treatment of particular groups***

The increased GMI level of LVL 48 set by Riga City Council has an influence on the amount of housing benefit for the following population groups:

- 1) children and young people aged under 20 years and studying at the general education school or vocational school up to the end of the school year;
- 2) one of parents or guardians in families with children;
- 3) orphans and children aged under 25 years left without parental care who are supporting themselves;
- 4) persons incapable to work for a prolonged period of time (more than an month), persons able to work 3 years before reaching retirement age and one year after recovery of ability to work in relation to end of the disability period.

The increased GMI level of LVL 90 is set for disabled persons and old-age pensioners.

In estimates of the housing benefit for other population groups, the GMI level of the LVL 27 set by the Cabinet of Ministers is applied.

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable*

6. **Family benefits**

6.1 ***Conditions for receipt***

Family state benefit shall be granted to a person (parents or care-giver) that is raising a child, which is not older than 15; or, if older than 15, attends general or professional educational school and is not married. In such a case the mentioned benefit shall be granted for a period while a child attends the corresponding educational establishment, but only until the date when the mentioned person reaches 20 years of age or marries. If a child under the custody reaches 18 years of age, the benefit shall be granted to the child himself/herself due to reaching a lawful age. The benefit shall not be granted for a child that, in accordance with the number of places financed by state or municipality, is admitted to professional educational programs and receives a scholarship.

6.2 ***Calculation of benefit amount***

6.2.1 *Calculation of gross benefit*

The amount of family state benefit for the first child in a family is 8 LVL per month. For the second child benefit shall be 1,2 times bigger (9,6 LVL per month), for the third child – 1,6 times bigger (12,8 LVL per month), but for the fourth and the following children – 1,8 times bigger than for the first child in a family (14,4 LVL per month).

Within family benefits there are following supplementary benefits available for parents or care-giver (guardian):

- *Supplement to family state benefit for disabled child.* If family state benefit is granted for a handicapped child under 18, an additional payment at the amount of 50 LVL per month shall be granted additionally to the mentioned benefit. A person that raises a disabled child keeps the right to receive this supplement regardless the payment of a family state benefit until the child reaches 18.
- *Child birth benefit.* Child birth benefit is granted to one of the child's parents or to a person who took a guardianship of a child until one year of age. Right to receive the child birth benefit is entitled of 8th day after the child has born or since day when guardianship is established. The amount of child birth benefit is 296 LVL for every born child (one-off payment). Additionally to the benefit amount shall be granted an additional payment at the amount of 100 LVL for the first child birth, 150 LVL for the second child birth and 200LVL for the third child and the next children birth.
- *Care of disabled child benefit,* which is granted to a person who cares for a child for whom the State Medical Commission for Expert-Examinations of Health and Working Ability has specified invalidity and issued an opinion regarding the necessity for special care in relation to serious physical and functional disorders. A care of disabled child benefit shall not be granted if in the same time period the parents of the child in relation to the birth or care of such child have been granted maternity benefits or childcare benefits. The payment of care of disabled child benefits shall be terminated when the time period ends for which the invalidity and the necessity for special care have been specified, or when the child reaches the age of 18 years. The amount of the care of disabled child benefit is 150 LVL per month. The state also covers social insurance contribution payments on behalf of persons receiving disabled child care benefit amounting to 20% from 50 LVL.

6.2.1.1 *Irregular additional payments*

6.2.2 *Income and earnings disregards*

No disregards.

6.3 *Tax treatment of benefit and interaction with other benefits*

Non-taxable.

6.4 *Treatment of particular groups*

No special rules.

6.4.1 *Young persons*6.4.2 *Older workers*6.4.3 *Others if applicable***7. Childcare for pre-school children**

In compliance with the Law on Education pre-school establishments carry out a pre-school education programme that is the first phase of education.

Pre-school establishments that are registered in the Register of Education Institutions of the Republic of Latvia and have been granted a licence for their pre-school education programmes implement pre-school education. As of 1 September 2008 570 pre-school establishments are carrying out their pre-school programmes (535 general and 35 special pre-school establishments) These establishments are founded and maintained by local governments and private persons.

Number of children in the pre-school childcare institutions by year of birth (on the 1st September, 2008; general schools, special schools, interest centres are not included)										
	TOTAL	2008	2007	2006	2005	2004	2003	2002	2001	2000 and earlier
Number of children	70172	2	1526	8826	14125	14825	15727	14134	1004	3
of which										
disabled	456	0	2	27	53	77	120	122	52	3
the staying of which is partially paid by the Social Service of municipality	1565	-	-	-	-	-	-	-	-	-
Included in the waiting list	24980	-	-	-	-	-	-	-	-	-

(Data source: Central Statistical Bureau)

Number of children in the pre-school childcare institutions by year of birth and type of group (on the 1st September, 2008; general schools, special schools, interest centres are not included)				
	TOTAL	of which born in		
		2006 and later	2004 and 2005	2003 and earlier
Number of children	70172	10354	28950	30868
of which groups with length of staying per day				
< 7 hours	578	46	142	390
7 - 12,5 hours	63856	9609	26499	27748
12,6 - 14 hours	2496	339	1058	1099
24 hours	3242	360	1251	1631
Of total				
Boarding-school type	13	2	7	4
Sanatorium type	103	10	46	47
Groups for children with special health care	4481	169	1481	2831

Groups of compulsory preparation of preschool-aged children (aged 5-6)	30525	-	-	-
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(Data source: Central Statistical Bureau)

Children up to 7 years of age acquire pre-school education programme. Depending on the state of health and psychological preparedness of children and according to the parents' wishes and decision of the family doctor, the mastery of the pre-school education programme may be prolonged or shortened by one year.

The preparation of five-year and six-year old children for the acquisition of primary education is compulsory.

7.1 *Out-of-pocket childcare fees paid by parents*

The payments that are made by parents for the acquisition of pre-school education are the following:

- 1) In the general mixed-type pre-school establishments parents pay for catering of children but all other expenses (maintenance of buildings, administrative expenses, salaries of the administrative staff and teachers except the salaries of teachers involved in the preparation of 5 and 6 year old children for school) are covered by local government. The salaries of those teachers who prepare the five and six year old children for school are paid from the state budget.

The founder takes the decision on the costs of catering and these costs are different for each local government. Within its administrative territory the local government according to criteria it has accepted may fix the size of discount to parents and does so in practice.

- 2) The parents of the pupils of special education institutions need not make any payments since all expenditures are covered from the state target subsidy and local government budget.
- 3) In private education institutions parents cover all expenses related to stay at school and the mastery of the pre-school education programme.
- 4) Parents whose children attend other education institutions (general schools, interest centres for children and juveniles, etc.) cover the catering costs.

According to the price survey the average payment for one day in childcare institution in 2008 was 0.68 1.66 LVL per child (14.28 – 34.86 per month).

7.2 *Child-care benefits*

There are two kinds of child-care benefits in Latvia: earnings related **Parent's benefit** for employed (socially insured) persons and flat-rated **Childcare benefit** for unemployed (socially uninsured) persons and persons are raising children between 1 to 2 years of age.

7.2.1 *Conditions for receipt*

Parent's benefit in accordance with the Law "On Maternity and Sickness Insurance" is paid to persons who are on child care leave or continued to work during child care period (are not on child care leave) and who are raising children under 1 year of age, if this person has been employed on the day the benefit is granted (is considered to be an employee or self-employed person in accordance with the Law on State Social Insurance). The benefit shall be granted to one of the parents or a person who has taken guardianship of a child.

Childcare benefit in accordance with the Law on State Social Benefits shall be granted to one of the parents or a person who has taken guardianship of a child and who cares for a child:

- 1) if this person is not employed on the day the benefit is granted (is not considered to be an employee or self-employed person in accordance with the Law on State Social Insurance) and is raising child under 1 year of age;
- 2) if this person is raising child between 1 to 2 years of age

A benefit shall be granted until a child reaches two years of age.

Supplement to the childcare benefit or parent's benefit for twins or more children arisen in one confinement provided to persons who receive childcare benefit or parent's benefit for twins or more children arisen in one confinement for each forthcoming child.

7.2.2 *Calculation of benefit amount*

7.2.2.1 *Calculation of gross benefit*

The amount of **parent's benefit** is 70% of the average gross wages upon which contributions have been paid during 12 months, but not less than LVL 63 (€ 89,64) per month. This 12-month period applies from three months before the month of the child's birth.

Average insurance contribution wage and benefit amount is calculated in accordance with the CM regulations No 270 from July 28 1998 Average insurance contribution wage calculation procedure and procedure for granting, calculation and payment of state social insurance benefits.

In July 2008 the average amount of parent's benefit was 341,72 LVL (€ 488,17) per month.

The **childcare benefit** is granted in accordance with the Article 7 of the Law on State Social Benefits and the CM Regulations No. 644 of 8 August 2006 "Regulations regarding the Amount of the allowance for Child Care and supplement for the birth of twins or more children born during one delivery, its review, granting and disbursement procedure".

The amount of childcare benefit:

- for persons who are not employed and who are raising children under 1 year of age LVL 50 (€ 71,14) per month;
- for persons who are raising children between 1 to 2 years of age LVL 30 (€ 42,69) per month.

The amount of the **supplement** is:

- to persons who are raising children under 1 year of age: LVL 50 (€ 71,14) per month for each forthcoming child;
- to persons who are raising children between 1 to 2 years of age: LVL 30 (€ 42,69) per month for each forthcoming child.

(in accordance with the Article 7 of the Law On State Social Benefits and the CM Regulations No. 644 of 8 August 2006 "Regulations regarding the Amount of the allowance for Child Care and supplement for the birth of twins or more children born during one delivery, its review, granting and disbursement procedure").

7.2.2.2 *Income and earnings disregards*

Parent's benefit is social insurance benefit, earning-related.

Childcare benefit is universal state social benefit, not means-tested.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Parent's benefit is taxable, childcare benefit is non-taxable. Parent's benefit is not granted for child due to his/her birth has been granted the maternity benefit of childcare benefit for the same period. In turn childcare benefit shall not be granted for children if due to his/her birth a maternity benefit or parent's benefit has been granted during the same period of time.

7.2.4 *Treatment of particular groups*

No special rules.

8. Employment-conditional benefits

None

8.1 *Conditions for receipt*

8.2 *Calculation of benefit amount*

8.2.1 *Calculation of gross benefit*

8.3 *Tax treatment of benefit and interaction with other benefits*

8.4 *Benefit duration*

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable*

9. Lone-parent benefits

State social security benefit.

9.1 *Conditions for receipt*

State social security benefit shall be granted to a child that has not reached the lawful age (18 years), has lost one or both breadwinners (parents) and is not married; the benefit shall be paid to parents of a child, guardian or any other person that actually raises a child. The benefit payments shall be carried on if after reaching the lawful age, a person attends general or professional educational establishments and is not older than 20 or studies at day department (full time education) of any higher educational establishment and is not older than 24.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

The amount of state social security benefit is 45 LVL per month. In cases when the benefit is granted to three or more children, the amount shall not be less than 50% from the amount of state social security benefit that is granted to each child.

9.2.1.1 Irregular additional payments

9.2.2 Income and earnings disregards

No disregards, universal benefit.

9.3 Tax treatment of benefit and interaction with other benefits

Not taxable.

9.4 Benefit duration

See chapter 9.1.

9.5 Treatment of particular group

No special rules.

9.5.1 Young persons

9.5.2 Older workers

9.5.3 Others if applicable

Social State Benefit to Participants of Mitigation of Consequences of Chernobyl NPS or their Family

9.5.3.1. Condition for receipt

Entitlement to benefit::

- participants of the Chernobyl nuclear clean-up (CNC disabled person), starting from the date, when disability has been stated, if disability is due to Chernobyl nuclear clean-up;
- family members of the deceased participant of the Chernobyl nuclear clean-up (CNC participant) from the date of death of the CNC participant, if the cause of death is due to Chernobyl nuclear clean-up;

Family members of the CNC participant are his children who are not older than 18 (until 24) years if they are full time students of the secondary or higher educational establishment) as well as the survived spouse (who are not intermarry with another person), parents and grandchildren if they had been supported by the deceased.

The amount of the Social State Benefit to Participants of Mitigation of Consequences of Chernobyl NPS or their Family is 45 LVL per month. Benefit is granted in accordance with the law On the social protection

of the participants of the Chernobyl nuclear clean-up and persons suffered as a result of the Chernobyl nuclear power station accident and the Cabinet of ministers` regulation.

Not taxable. The amount of benefit can not be less than the state social security benefit.

10. Tax system

The tax system consists of state taxes, state fees, local government fees, social insurance contributions.

Social insurance contributions guarantees security to person in case of old-age, death, unemployment, disability, maternity, sickness, accidents at work and occupational diseases. The basis of compulsory social insurance contributions for the employee is all income from paid work from which personal income tax is to be deducted, without deduction of the non-taxable minimum, tax exemptions and justified expenses for which the taxpayer is entitled to reduce the taxable income.

Salary, pension, income from economic activity (self-employment) are subject to Personal Income Tax.

10.1 Income tax

Personal Income Tax rate is 25% (from 1 January 2009 – 23%) taxation period – calendar year. The tax shall be calculated and paid into the budget in two ways:

- 1) in advance – payer of the income withholds tax at the source of income and pays it into the budget (from salary, pension, authors fee (royalty), donations in cash and other objects, scholarships, etc.)
- 2) and in accordance with the summary procedures, by submitting an annual income declaration (from income of economic activity and declared deductible expenses).

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

1) Amount of basic allowance, in 2008 – 960 LVL per annum (80 LVL per month); in 2009 – 1080 LVL per annum (90 LVL per month);

2) Non-taxable minimum for pensions:

- for persons to whom a pension has been granted up to 1 January 1996 in conformity with the law “On State Pensions”, the non-taxable minimum is in the amount of this pension;
- for persons to whom a pension has been granted or calculated after 1 January 1996 in conformity with the law “On State Pensions”, the non-taxable minimum from 1 October 2006 – 1980 LVL per annum (165 LVL per month).

3) Tax relief`s:

- relief on dependants (for each dependant) – in 2008 – 672 LVL per annum (56 LVL per month); in 2009 – 756 LVL per annum (63 LVL per month);
- relief for disable persons:
 - I and II invalidity group – in 2008 is 1152 lats per annum (96 lats per month); in 2009 - 1296 LVL per annum (108 LVL per month);
 - III invalidity group – in 2008 is 900 lats per annum (75 lats per month); in 2009 - 1008 LVL per annum (84 LVL per month);

- Additional relief for politically repressed persons – in 2008 is 1152 LVL per annum (96 LVL per month); 2009 - 1296 LVL per annum (108 LVL per month);

The taxpayer can apply relief on following dependants:

- for a minor child and for a child while he or she continues the acquisition of a general, professional, higher or special education, but not longer than until reaching 24 years of age;
- for an unemployed spouse;
- for unemployed parents and grandparents;
- for a grandchild or a child taken for raising while he or she continues the acquisition of a general, professional, higher or special education, but not longer than until reaching 24 years of age, if it is impossible to recover the allowance (alimony) from the parents of the child;
- for a brother, sister who is under the age of 18 years, if they do not have parents who are able to work;
- for the dependants of the dependent persons;
- for a person under guardianship or trusteeship of the payers.

4) Deductible expenses:

- Social security contributions paid by individual;
- Contributions into private pension funds or life insurance (accrual) premiums not exceeding 10% of taxpayer gross income;
- Health care and education expenses (not exceeding 150 lats per year, from 2009 – 300 lats);
- Planned operations and dentistry expenses;
- Charitable donations (not exceeding 20% of taxable income).

10.1.1.2 *Standard tax credits*

10.1.2 *Income tax schedule (central government income tax)*

10.1.3 *State and local income taxes*

10.2 *Treatment of family income*

Latvia has not household taxation or joint taxation for spouse; taxpayer pays personal income tax individually.

10.3 *Social security contributions and payroll taxes*

10.3.1 *Contributions payable by employees and benefit recipients*

In 2008 the rate of compulsory social insurance contribution if the employee is insured for all social insurance kinds is 33,09% of wage before taxation, where the employer pays 24,09% and the employee – 9%. Social insurance contribution covers:

- state pensions insurance – 23,65%
- unemployment insurance – 1,75%
- occupational accident insurance – 0,24%
- disability insurance – 2,92%
- maternity and sickness insurance – 3,45%
- parental insurance – 1,08%.

Individuals are insured and social insurance contribution payments are made in respect of those risks that may actually affect them. Therefore, the rate of social insurance contribution for special categories of payers has been reduced, excluding certain types of insurance. In 2008 maximum amount of social insurance contribution object is 29600 LVL per year, but minimum amount for the self employed persons and for persons who joined social insurance voluntary – 1800 LVL per year.

For example, if an employee's gross wage is 200 LVL, the employer makes the following calculation: he multiplies the contribution base by the contribution rate set for the employer ($\text{LVL } 200 \times 24.09\% = \text{LVL } 48.18$). He also calculates the part of contributions to be made by the employee by multiplying the contribution base by the contribution rate set for the employee ($\text{LVL } 200 \times 9\% = \text{LVL } 18$). Total sum of contributions payable is calculated by adding together the employers and employee's part ($\text{LVL } 48.18 + \text{LVL } 18 = \text{LVL } 66.18$ per month).

The personal income tax (25%) is calculated from the gross wage from which the employee's contribution part has been deducted. The non-taxable minimum, tax concessions and eligible expenses for which the taxpayer has the right to reduce the taxable income are applicable.

10.3.2 Contributions payable by employers

An employee shall make social insurance contributions through his or her employer. The employer shall deduct the contributions to be made by the employee and pay them into a special budget account.

Employer calculates social insurance contributions of the employee by multiplying the work income by the rate of social insurance contributions of the employee. Employer's social insurance contributions employer calculates by multiplying the work income by the rate of social insurance contributions of the employer. Total calculated social insurance contributions acquired by summing up the social insurance contributions of the employee and the social insurance contributions of the employer.

10.3.3 Payroll taxes

In accordance with the law *On Protection of Employees in Case of Employer's Insolvency* employers who according to law can be announced as bankrupt shall pay entrepreneurship risk state duty into the Employees Guarantee Fund to satisfy employees claims in the event of the insolvency of enterprise. From the Employee Claims Guarantee Fund the following claims may be covered:

- 1) wage for the last three months of the employment relationship during 12 months before entering insolvency;
- 2) compensation for annual paid leave (holiday payment) which an employee became entitled to receive within 12 month period before entering insolvency;
- 3) compensation for other types of paid absence within the last three months of the employment relationship during the 12 months before entering insolvency;
- 4) redundancy payment in minimum statutory amount stated by the law;
- 5) compensation of damage for the whole unpaid period;
- 6) amount of compensation for damage to be paid for three subsequent years ahead

In 2007 the monthly value of duty is 0.25 LVL per payroll employee (self-employed persons are not covered).

10.4 Treatment of particular group

10.4.1 Young persons

None

10.4.2 *Older workers*

Employees who have reached the retirement age make social insurance contribution payments for pensions insurance, occupational accident insurance, maternity and sickness insurance and the insurance contribution rate is 28,26% in 2008

10.4.3 *Others if applicable*

For example, for self-employed persons the insurance contribution rate is 30,44% in 2008 and they make social insurance contribution payments for pensions insurance, disability insurance, maternity and sickness insurance, parental insurance.

11. **Part-time work**

There are no special rules for part-time workers.

11.1 *Special benefit rules for part-time work*

There are no special benefit rules for part-time workers.

11.2 *Special tax and social security contribution rules for part-time work*

None

12. **Policy developments**

12.1 *Policy changes introduced during 2008*

In order to prevent malignant using of unemployment benefits and promote employment in the state in 2007 were elaborated and on 1 January 2008 came in force amendments to the Law “On insurance in case of unemployment”, which has defined differentiation of unemployment benefit payment period in dependence from insurance record of unemployed person:

- for persons with the insurance record from 1 – 9 years: 4 months;
- for persons with the insurance record from 10 – 19 years: 6 months;
- for persons with the insurance record over 20 years: 9 months.

Also in accordance with above mentioned amendments on 1 January 2008 the qualification period of unemployment benefit was increased from 9 to 12 months. So, on benefit can pretend persons socially insured for at least 1 year and paid at least 9 months of contributions in the 12 months before registering as unemployed.

In order to encourage implementation of gender mainstreaming within the area of family life and child care, as also improve the balance between private and working life on 1 January 2008 the new social insurance benefit – parent’s benefit, which has replaced earning related Child raising benefit for socially insured persons who are raising children under 1 year of age, was introduced. The amount of benefit is 70% of the average gross wages upon which contributions have been paid during 12 months, but not less than LVL 63 per month. In contradistinction to Child raising benefit for socially insured persons who are raising children under 1 year of age, which was paid in maximum amount of 392 LVL per month, the maximum amount of parent’s benefit is not restricted. With the introducing of parent’s benefit socially insured persons, who are raising children under 1 year of age, receives previous work incomes (net

Reference date for all information is **July 1st 2008**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

working wage) in full amount. This in turn could promote that fathers more actively will participate in family life and child care (taking into account that monthly working wage is higher for males. As a result of introducing the parent's benefit females, possible, more actively will participate in the labour market, in turn, males will have the greater opportunity to care for a child.

On 1 January 2008 the amount of Care of Disabled Child Allowance was increased from 50 LVL to 150 LVL per month.

On 1 January 2008 the new state social allowance - Allowance to a Disabled Person who Needs Care – was introduced. The allowance is granted to a disabled adult person who needs special care due to severe functional disorders on the basis of the statement made by the State Medical Commission for Expert-Examination of Health and Working Ability or a unit thereof. The amount of allowance is 100 LVL per month.

The Parliament of Latvian Republic (Saeima) in 11 December 2008 adopted “Amendments to the Law “On Unemployment Insurance””, which are became effective on 23 December 2008 and provides the suspension of unemployment benefit disbursement in the case when unemployed person receive sickness benefit.

As concerns tax system see Section 10.

12.2 *Future policy changes announced in 2008*

The Cabinet of Ministers on 22 December, 2008 adopted amendments to the regulations regarding the amount of the Social State Benefit to Participants of Mitigation of Consequences of Chernobyl NPS or their Family, which has become effective in 1 January 2009 and provides the increase of this amount from 45 LVL to 60 LVL per month.

The Cabinet of Ministers on 7 October, 2008 adopted “Amendments to the Regulations regarding the Amount of State Family Benefit and Supplement to State Family Benefit for Disabled Child, the Procedures for Review Thereof and the Procedures for Granting and Disbursement of Benefit and Supplement”, which has become effective in 1 January 2009 and provides the increase of amount of supplement for disabled child from 50 LVL to 75 LVL per month.

The Cabinet of Ministers on 16 September 2008 adopted “Amendments to the Regulations regarding the Amount of the State Social Security Benefit and Funeral Benefit, the Procedures for the Review thereof and the Procedures for the Granting and Disbursement of the Benefits”, which has become effective in 1 January 2009 and provides the increase of amount of benefit for persons disabled since childhood from 50 LVL to 75 LVL per month.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.